

Valuation of equity shares of Hiliks Technologies Limited for compliance with Regulation 166A of Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 as amended by Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022

29th April, 2024

SUMAN KUMAR VERMA

*Registered Valuer (Securities or Financial Assets) with IBBI
Registration No.: IBBI/RV/05/2019/12376*

Date: 29th April 2024

To,
The Board of Directors
Hiliks Technologies Limited

Shop No. 205, 2nd Floor Sidharth Towers, Opp: Khandelwal Gokhal
Near Thane Railway Station Thane Maharashtra- 400602 India.

Dear Sir,

Sub: Valuation of equity shares of Hiliks Technologies Limited

Hiliks Technologies Limited (“HTL” or “the Company”) intends to issue share warrants to its proposed investors on preferential basis in compliance with applicable laws.

In this regard, Suman Kumar Verma, Registered Valuer with IBBI Registration No. IBBI/RV/05/2019/12376 (‘Suman’ or ‘Independent Valuer’) has been appointed to determine fair value of equity shares of HTL for compliance with for compliance with as per Section 62(1)(c) of the Companies Act, 2013 (as amended) read with Rule 13 of the Companies (Share Capital and Debenture) Rules, 2014, and Regulation 160 of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, for a Preferential Allotment as per in accordance with Regulations 166(A) Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Amendment) Regulations, 2022 vide Notification No. SEBI/LAD-NRO/GN/2022/63 (‘Valuation Purpose’).

The relevant date, as informed to us by the Management of HTL (‘the Management’), for the purpose of calculation of the price per share under the SEBI ICDR Regulations for issuance of share warrant is 29th April 2024 (‘Relevant Date’). The Valuation Date as informed to us by the Management for computation of equity value per share of HTL is as on close of trading hours of the date preceding the relevant date i.e. 26th April 2024 (‘Valuation Date’).

This Report is structured under the following broad heads:

- Background
- Information sources
- Valuation Standards followed and Procedure adopted for Valuation
- Valuation Methodology
- Valuation Analysis and Conclusion
- Scope Limitation
- Annexures



BACKGROUND

Hiliks Technologies Limited

M/s. HILIKS TECHNOLOGIES LIMITED ("Company") was incorporated on 19/02/1985 vide registration Number L72100MH1985PLC282717 under the provisions of Companies Act, 1956 and the rules made thereunder.

The Registered office of M/s. HILIKS TECHNOLOGIES LIMITED is situated at Shop No. 205, 2nd Floor, Sidharth Towers Opp Khandelwal Gokhal Near Thane Railway Station, Thane Maharashtra - 400602 India.

It is a trusted technology partner, business consulting services organization. Established the ODC in India, Hyderabad, with state-of-the-art facilities to deliver pioneering IT solutions across the Government, Fintech, Transport, Manufacturing, Healthcare customers to help accelerate their Digital Transformation. With Global presence having offices in India, USA and UK. HiLiks Technologies Limited delivers IT Services through both On-shore and Off-shore Models with dedicated ODC facilities.

Hiliks, work with our technology partners and customers to outperform the competition. It takes an agile, collaborative approach to create bespoke IT solutions across the Managed Services value chain.

Its core expertise in Consulting, Technology Delivery, Digital Innovation, Product Development, Application Development & Maintenance, Cloud and Infrastructure Management turns into a strategic asset and Product Implementation with Support Services have led to a unique potential that offered remarkable outcomes for the Global clients, partners & imminent shareholders.

Hiliks helps get you there, whether you need to run your business more resourcefully or accelerate revenue growth.

Shareholding Pattern as on date of Valuation

Particulars	No. of shares	% Shareholding
Promoter & Promoter Group	5,00,000	8.33%
Public	55,00,000	91.67%
Total	60,00,000	100.00



INFORMATION SOURCES

We have relied on the following sources of information and documents as provided to us by the Management of HTL ('the Management') and available in public domain:

- Mangement Certified Financial Statement for the period ended 31st December 2023;
- Other relevant publicly available data;
- Our regular discussions with management representatives of HTL;
- We have also relied on published and secondary sources of data whether or not made available by the Company.



VALUATION STANDARDS FOLLOWED AND PROCEDURES ADOPTED FOR VALUATION

- We have performed the valuation analysis, to the extent possible, in accordance with International Valuation Standards.
- In connection with this exercise, we have adopted the following procedures to carry out the valuation analysis:
 - Requested and received relevant data from the Management
 - Discussions with the Management on understanding of the business of the Company
 - Obtained and analysed data available in public domain, as considered relevant by us
 - Obtained and analysed market prices and other data involving equity shares of HTL and of comparable companies, as applicable and relevant
 - Selection of valuation approach and valuation methodology/ (ies), in accordance with International Valuation Standards(IVS), as considered appropriate and relevant by us
 - Determination of value per equity share of HTL, as relevant
 - Preparation and issuance of this valuation report.



VALUATION APPROACHES AND METHODOLOGIES

- For the purpose of valuation, it is necessary to select an appropriate basis of valuation amongst the various valuation techniques. It is universally recognized that valuation is not an exact science and that estimating values necessarily involves selecting a method or approach that is suitable for the purpose. The application of any particular method of valuation depends upon various factors including the size of company, nature of its business and purpose of valuation. Further, the concept of valuation is all about the price at which a transaction takes place i.e., the price at which seller is willing to sell and buyer is willing to buy. Accordingly, a fair and reasonable approach for valuing the shares of the company is to use a combination of relevant and applicable valuation methods.
- IVS 301 read with IVS 103 specifies that generally the following three approaches for valuation of business / business ownership interest are used:
 - Cost/Asset Approach
 - Market Approach
 - Income Approach

Cost/Asset Approach – Book Value (BV) method

- The value under cost approach is determined based on the underlying value of the assets which could be on book value basis, replacement cost basis or on the basis of realizable value. Under Book Value method, total value of the business is based either on net asset value or realizable value or replacement cost basis. Book Value methodology is most applicable for the business where the value lies in the underlying assets and not the ongoing operations of the business. Book Value method does not capture the future earning capacity of the business. Given the nature and specifics of the business, we have considered the Book Value method, wherein we have estimated the book value of the all assets recorded in the books of the Company as per the latest audited financials.

Income Approach – Discounted Cash Flows (DCF) method

- Under the Income Approach, business is valued by converting maintainable or future amount of cash flows to a single current amount either through discounting or capitalization. DCF Method seeks to arrive at the value of the business based on its future cash flows generating capability and the risks associated with the said cash flows. FCFF or free cash flows to the firm (“FCFF”) represents the cash available for distribution to both the owners and the creditors of the business. Risk-adjusted discount rate or Weighted Average Cost of Capital (“WACC”) is applied to free cash flows in the explicit period and that in perpetuity. Adjustments pertaining to debt, surplus/non-operating assets including investments, cash & bank balance and contingent assets/liabilities and other liabilities, as relevant, are required to be made in order to arrive at the value for equity shareholders. The total value for the equity shareholders so arrived is then to be divided by the number of equity shares to arrive at the value per equity share of the company.

We have not considered Discounted Cash Flows (DCF) method under the income approach as the projections of HTL would be unpublished price sensitive information as

per SEBI (Prohibition of Insider Trading) Regulations, 2015, which was therefore not made available to us.

Profit Earning Capacity Value (PECV) Method

This method is used while valuing a going concern business with a good profitability history. In its simplest form, this method basically divides the expected stable earnings of a business by the capitalization rate. It involves determining the future maintainable earning level of the entity from its normal operations. Normal profit is arrived at by considering the normal business profits after adjusting the non-recurring / extraordinary items of income and expense. This maintainable profit, considered on a post-tax basis, is then capitalized at a rate, which combines an adequate expectation of reward from enterprise and risk, to arrive at the business value. The earnings figure to be capitalized should be one that reflects the true nature of the business, such as the last three years' average, current year or projected year excluding the impact of any extraordinary items not expected to accrue in future.

We have considered this method to arrive at value of Equity Shares.

Market Approach – Market Price method

- Under the Market Price method, the market price of an equity share as quoted on a recognized Stock Exchange is normally considered as the value of the equity shares of that company, where such quotations are arising from the shares being regularly and frequently traded. Generally, market value is reflective of the investors' perception about the actual worth of the company. However, in certain situations, the value of the share as quoted on the stock market would not be regarded as a proper index of the fair value of the share especially where the market values are fluctuating in a volatile capital market. We understand that the shares are frequently traded in BSE Limited.

In terms of Regulation 166A of the SEBI ICDR Regulations,

166A. (1) Any preferential issue, which may result in a change in control or allotment of more than five per cent of the post issue fully diluted share capital of the issuer, to an allottee or to allottees acting in concert, shall require a valuation report from an independent registered valuer and consider the same for determining the price:

Provided that the floor price, in such cases, shall be higher of the floor price determined under sub-regulation (1), (2) or (4) of regulation 164, as the case may be, or the price determined under the valuation report from the independent registered valuer or the price determined in accordance with the provisions of the Articles of Association of the issuer, if applicable:

Provided further that if any proposed preferential issue is likely to result in a change in control of the issuer, the valuation report from the registered valuer shall also cover guidance on control premium, which shall be computed over and above the price determined in terms of the first proviso:

Provided further that the valuation report from the registered valuer shall be published on the website of the issuer and a reference of the same shall be made in the notice calling the general meeting of shareholders.

(2) Any preferential issue, which may result in a change in control of the issuer, shall only be made pursuant to a reasoned recommendation from a committee of independent directors of the issuer after considering all the aspects relating to the preferential issue including pricing, and the voting pattern of the said committee's meeting shall be disclosed in the notice calling the general meeting of shareholders.

Regulations 164 for frequently traded shares states the following:

In terms of Regulation 164 (1) of Part IV of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations 2018 (ICDR Regulations), if the equity shares of the issuer have been listed on a recognised stock exchange for a period of **90 trading days** or more as on the relevant date, the price of the equity shares to be allotted pursuant to the preferential issue shall be not less than higher of the following:

- a) the **90 trading days** volume weighted average price of the related equity shares quoted on the recognised stock exchange preceding the relevant date; or
- b) the **10 trading days** volume weighted average prices of the related equity shares quoted on a recognised stock exchange during the preceding the relevant date

"Provided that if the Articles of Association of the issuer provide for a method of determination which results in a floor price higher than that determined under these regulations, then the same shall be considered as the floor price for equity shares to be allotted pursuant to the preferential issue.";

(2) If the equity shares of the issuer have been listed on a recognized stock exchange for a period of less than 90 trading days as on the relevant date, the price of the equity shares to be allotted pursuant to the preferential issue shall be not less than the higher of the following:

- a) the price at which equity shares were issued by the issuer in its initial public offer or the value per share arrived at in a scheme of compromise, arrangement and amalgamation sections 230 to 234 the Companies Act, 2013, as applicable, pursuant to which the equity shares of the issuer were listed, as the case maybe; or
- b) the volume weighted average prices of the related equity shares quoted on the recognized stock exchange during the period the equity shares have been listed preceding the relevant date; or
- c) the volume weighted average prices of the related equity shares quoted on a recognized stock exchange during the 10 trading days preceding the relevant date.

Since, HTL is a listed company and equity shares of HTL are traded on BSE and Metropolitan Stock Exchange over a reasonable period, we have considered Market Price method to determine the value of equity shares of HTL. We have been informed by the Management that the relevant date as per the SEBI ICDR Regulations, for the purpose of calculation of the price per share of HTL for the proposed preferential issue of shares is 26th April 2023. We have considered this as the cut-off date to determine the price for the proposed preferential allotment of equity shares of HTL under Regulation 166A of SEBI ICDR Regulations. We have considered the stock prices of HTL from BSE for calculating the fair market value of equity shares of the Company.




Market Approach – Comparable Companies' Multiple (CCM) method

- Under CCM Method, the value of shares of the subject company is determined on the basis of multiples derived from valuations of comparable companies. Relevant multiples need to be chosen carefully and adjusted for differences between the circumstances. The Comparable Companies' Multiple Method arrives at the value of the company by using multiples derived from valuations of comparable companies, as manifest through stock market valuations of listed companies. This valuation is based on the principle that market valuations, taking place between informed buyers and informed sellers, incorporate all factors relevant to valuation. Relevant multiples need to be chosen carefully and adjusted for differences, such as growth potential, past track record, size, company dynamics, etc.
- Management has confirmed to us that there are no listed comparable companies appropriate to the business profile, size, etc. of the Company. We have therefore not considered CCM method for the said Valuation.

For arriving at the value per equity share of HTL and considering valuation inputs available for determining valuation under Book Value method, Market Price and PECV, we have applied 10%, 80% and 10% weights respectively to arrive at the value per equity share of HTL.



The image shows a handwritten signature in blue ink and a circular stamp. The stamp contains the following text: "Suman Kumar Verma" at the top, "1881/RV/05/2019/12379" in the middle, "New Delhi" below that, and "9716633301" and "Registered Valuer-SFA" at the bottom.

SCOPE LIMITATIONS AND DISCLAIMERS

- Valuation analysis and results are specific to the purpose of valuation mentioned in this report as per agreed terms of our engagement. It may not be valid for any other purpose or as at any other date.
- We owe responsibility to only the management of the client that has retained us and nobody else. We do not accept any liability to any third party in relation to the issue of this valuation report. Our valuation report cannot be used for any other purpose. This report has been prepared only for the sole use and information of HTL. Without limiting the foregoing, we understand that HTL may be required to submit this report to the regulatory authorities / stock exchanges in connection with the Proposed Transaction.
- Our analysis is based on the market conditions and the regulatory environment that currently exists. However, changes to the same in the future could impact the company and the industry it operates in, which may impact our valuation analysis.
- We are not responsible for updating this report because of any events or transactions occurring subsequent to the date of this report.
- We have considered and relied on the information provided to us by the Management including financial information, significant transactions and events occurring subsequent to the balance sheet date. We understand that the information provided to us and the representations made to us (whether verbal or written) are reliable and adequate. We have derived our conclusions and recommendation from the information so provided and we are thus reliant on the given information to be complete and accurate in every significant aspect. We are made to believe that the Management have informed us about all material transactions, events or any other relevant factors which are likely to have an impact on our valuation recommendation.
- In the ultimate analysis, valuation will have to capture the exercise of judicious discretion by the Valuer and judgment taking into account all the relevant factors. There will always be several factors which are not evident from the face of the financial statements, but which will strongly influence the worth of a share. Examples of such factors include quality and integrity of the management, capital adequacy, asset quality, earnings, liquidity, size, present and prospective competition, yield on comparable securities and market sentiment, etc. This concept is also recognized in judicial decisions.
- This Report does not look into the business / commercial reasons behind the transaction. We have no present or planned future interest in the company and the fee for this engagement is not contingent upon the values reported herein. Our valuation analysis should not be construed as an investment advice. We do not express any opinion on the suitability or otherwise of entering into any transaction with the Company.
- Any discrepancies in any annexure between the total and the sums of the amounts listed are due to rounding-off.



Suman Kumar Verma
05/2019/12376
New Delhi
9716633301
Registered Valuer-SFA

VALUATION ANALYSIS AND CONCLUSION

- The value per equity share of HTL are based on the various approaches / methods explained herein earlier and various qualitative factors relevant to each company and the business dynamics and growth potential of the businesses of the Companies, having regard to information base, key underlying assumptions and limitations. We have independently applied methods discussed above, as considered appropriate, i.e., Market Price method, PECV Method and Book Value method for determining value per share of the Company. We have given highest weightage to Market Method considering the shares of HTL are frequently traded.

Particulars	Value per share (INR)	% Weight	Weighted Value (INR)
Book Value Method	12.02	10.00%	1.20
PECV Method	0.97	10.00%	0.10
Market Price Method	36.37	80.00%	29.09
Weighted Value per share (INR)		100.00%	30.39

- In light of the above and on consideration of all the relevant factors and circumstances as discussed and outlined hereinabove referred to earlier in this Report for the proposed transaction, in our opinion, we recommend the fair value of equity shares of HTL at **INR 36.37 per equity share**, Floor price as per 164(1) of SEBI ICDR Regulations 2018.

Yours faithfully,

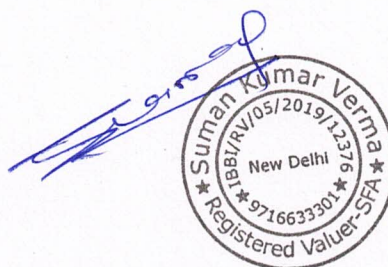
Suman Kumar Verma

Registered Valuer

IBBI Reg. No.: IBBI/RV/ 05/2019/12376

Place: Delhi

Date: 29th April 2024



Enclosed:

Annexure I: Determination of value per equity shares of HTL using Book Value method;

Annexure II: Determination of value per equity share of HTL using PECV method

Annexure III: Computation of share price of HTL under Regulation 164(1) of ICDR Regulations.

Annexure I – Determination of value of equity shares of HTL using Book Value RSL

The value of equity shares of HTL using Book Value method is **INR 12.02** per equity share.

Particulars	Amount (INR Thousands)
Property Plant & Equipment	369.40
Investments	15,000.00
Loans	27,734.58
Deferred Tax Assets	361.00
	43,464.98
Cash and Cash Equivalents	2,168.99
Other Current Assets	38,868.51
	41,037.50
Total Assets	84,502.47
Less: Liabilities	
Other Current Liabilities	12,099.25
Borrowings	259.09
Total Liabilities	12,358.34
Net Asset Value	72,144.13
No. of Shares	60,00,000
Value per Share (INR)	12.02

Annexure II- Determination of value of equity shares of HTL using PECV method

Particulars	Amount (INR Lakhs)			
	FY 21	FY 22	FY 23	Total
Profit after Taxes	25	7	8	
Weights	1	2	3	6
Product	25	14	24	63
Weighted Average Profit after Taxes				10.5
Capitalization Rate				18%
Capitalization Value				58.33
No. of Shares				60,00,000
Value per Share (INR)				0.97

Suman Kumar Verma



Annexure IIIA – Determination of value per equity share of HTL under Regulation 164(1) of SEBI ICDR Regulations

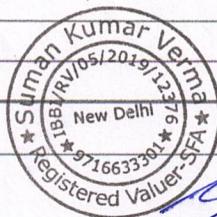
Valuation of equity shares of HTL using Market Price method			
	Particulars	VWAP	
A	Average of 90 trading days VWAP	36.21	
B	Average of 10 trading days VWAP	36.37	
	Floor Price (Higher of A or B)	36.37	
Based on the above computation, we understand that the value of equity shares of HTL can be considered at INR 36.37 per equity share.			



Annexure IIB – Computation of share price of HTL shares under Regulation 164 (1) of SEBI ICDR Regulations, as per historical trading prices on BSE website

Volume weighted average price (VWAP) of the equity shares of Hiliks Technologies Limited quoted on the BSE (Relevant Stock Exchange) during the 90 trading days preceding the relevant date (considering relevant date as 29-Apr-2024)

Sr No	Date	Volume of Traded Shares	Total Turnover (Rs.)
1	26-Apr-24	35,590	12,53,123
2	25-Apr-24	17,016	6,11,259
3	24-Apr-24	43,791	16,34,995
4	23-Apr-24	51,175	19,00,812
5	22-Apr-24	10,283	3,65,976
6	19-Apr-24	24,054	8,65,564
7	18-Apr-24	41,945	15,35,387
8	16-Apr-24	10,412	3,58,788
9	15-Apr-24	1,775	61,354
10	12-Apr-24	1,963	67,999
11	10-Apr-24	101	3,364
12	09-Apr-24	219	6,889
13	08-Apr-24	2,986	90,293
14	05-Apr-24	223	6,412
15	04-Apr-24	32	918
16	03-Apr-24	4	112
17	02-Apr-24	3,103	85,611
18	01-Apr-24	19	523
19	28-Mar-24	3,003	81,231
20	27-Mar-24	5,882	1,62,343
21	26-Mar-24	100	2,791
22	22-Mar-24	4,888	1,28,715
23	21-Mar-24	110	2,952
24	20-Mar-24	5,021	1,37,474
25	19-Mar-24	5,000	1,39,650
26	18-Mar-24	10,010	2,85,285
27	14-Mar-24	24	697
28	13-Mar-24	1,000	29,660
29	12-Mar-24	6,278	1,89,972
30	07-Mar-24	100	3,087
31	06-Mar-24	1	31
32	05-Mar-24	1,506	46,942
33	04-Mar-24	2,012	63,981
34	01-Mar-24	7,304	2,32,409
35	29-Feb-24	9,143	2,87,677
36	28-Feb-24	4,288	1,38,028
37	27-Feb-24	5,801	1,83,592



38	26-Feb-24	6,375	1,93,260
39	23-Feb-24	511	14,523
40	22-Feb-24	2,253	62,520
41	21-Feb-24	25,470	6,21,757
42	20-Feb-24	4,991	1,26,376
43	19-Feb-24	21,537	5,59,467
44	16-Feb-24	2,402	68,334
45	15-Feb-24	1,192	34,150
46	14-Feb-24	3,398	1,00,257
47	13-Feb-24	1,428	43,930
48	12-Feb-24	14	453
49	09-Feb-24	300	9,711
50	08-Feb-24	3	97
51	07-Feb-24	7	226
52	02-Feb-24	186	6,143
53	01-Feb-24	105	3,537
54	31-Jan-24	993	33,514
55	30-Jan-24	100	3,370
56	29-Jan-24	1,600	53,970
57	25-Jan-24	151	5,154
58	24-Jan-24	10	343
59	23-Jan-24	83	2,909
60	19-Jan-24	208	7,151
61	18-Jan-24	2	70
62	17-Jan-24	11	393
63	16-Jan-24	92	3,359
64	15-Jan-24	79	2,943
65	12-Jan-24	601	22,850
66	09-Jan-24	24	930
67	08-Jan-24	28	1,086
68	05-Jan-24	10,080	3,98,103
69	04-Jan-24	1,417	55,311
70	03-Jan-24	15,693	6,21,067
71	02-Jan-24	1,204	45,390
72	01-Jan-24	1,275	45,782
73	29-Dec-23	31,279	10,65,655
74	28-Dec-23	50,858	16,60,442
75	27-Dec-23	36,830	12,55,431
76	26-Dec-23	1,712	61,324
77	22-Dec-23	97,545	35,72,097
78	20-Dec-23	33,125	12,37,550
79	19-Dec-23	1,652	62,974
80	18-Dec-23	7	278
81	15-Dec-23	178	7,187
82	14-Dec-23	5,293	2,10,317



83	13-Dec-23	58,102	23,06,383
84	12-Dec-23	1,06,692	42,48,920
85	11-Dec-23	26,375	10,83,414
86	08-Dec-23	18,075	7,45,183
87	07-Dec-23	69,617	29,02,936
88	06-Dec-23	7,204	3,05,804
89	05-Dec-23	5,960	2,48,055
90	04-Dec-23	11,520	4,70,131
Total		9,82,009	3,55,58,413
VWAP of 90 trading Days (INR)			36.21

Volume weighted average price (VWAP) of the equity shares of HTL quoted on the BSE (Relevant Stock Exchange) during the 10 trading days preceding the relevant date (considering relevant date as 29-Apr-2024)

Sr No	Date	Volume of Traded Shares	Total Turnover (Rs.)
1	26-Apr-24	35,590	12,53,123
2	25-Apr-24	17,016	6,11,259
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5	22-Apr-24	10,283	3,65,976
6	19-Apr-24	24,054	8,65,564
7	18-Apr-24	41,945	15,35,387
8	16-Apr-24	10,412	3,58,788
9	15-Apr-24	1,775	61,354
10	12-Apr-24	1,963	67,999
Total		2,38,004	86,55,257
VWAP of 10 trading Days (INR)			36.37

<<End of Report>>





The Institute of Cost Accountants of India

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PREVIEW

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Document Type	Certificate
Type of Certificate	Other Certificate
Date of Signing of Document	29/04/2024
Financial Figures / Particulars	6000000: No. of Shares 12.02: Value Per Share (INR)
Document Description	Hiliks Technologies Limited
Status	Active



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